

HSBC & STAN

2Q26 preview: NII tailwinds support HSBC; STAN faces tough comps, but fundamentals intact

We expect HSBC to deliver stable 2Q26 earnings growth, supported primarily by NII and improved operating leverage, though partly offset by elevated credit costs. For STAN, we expect clean PBT to contract in the mid-teens y/y due largely to a high base from disposal gains and episodic income in 2Q25, as well as front-loaded opex. That said, any pullback in STAN's share price on weaker 2Q26 results could present a buying opportunity, in our view, as underlying operating trends remain strong and we see tailwinds from its China CIB and network income. We reiterate our OW ratings on both HSBC and STAN.

- **Higher yield curves point to NII upside:** Forward yield curves (Figure 1, Figure 2) have shifted upward over the past two months. Accordingly, we have revised up our forecasts for average US rates by 6bps/25bps/25bps and our 1M HIBOR forecasts by 21bps/25bps/25bps for 2026/27/28. In addition, we have observed a recovery in Hong Kong loan growth, which accounts for 28%/26% of group loans for HSBC/STAN. While we expect HSBC/STAN Hong Kong loan growth to lag the broader industry trend, this still introduces upside risk to banking NII, particularly for HSBC, which has a lower deposit beta than STAN.
- **Channel checks on China cross-border regulatory revisions:** We believe the tightening of individual ODI rules has had a muted impact on net new money flows and wealth fees in 2Q26. Longer-term implications remain unclear, as detailed guidance has not yet been released. However, it is evident that China has relaxed certain restrictions on corporate cross-border activity ([link](#)) and accelerated RMB internationalization (Table 1). We estimate that China CIB income (incl. China-originated network income) accounts for ~10% of group revenue for STAN vs. low to mid-single-digits for HSBC. While it remains difficult to quantify the impact of these regulatory changes ([link](#)), they represent a potential tailwind to our non-NII assumptions, particularly for STAN.
- **2Q preview for HSBC – Stable growth supported by NII despite rise in credit cost:** We expect revenue growth of 6% y/y, driven mainly by banking NII (+8% y/y). Non-NII growth is expected to be subdued (+3% y/y) despite robust wealth income growth (+16% y/y). We expect opex to rise 2% y/y, bringing PPoP growth to 10% y/y. We also factor in an elevated annualized credit cost of 50bps, partly reflecting an estimated \$200mn ECL charge related to HSBC's media-reported ~\$400mn exposure to IFFCO Group (a Dubai-based conglomerate). On net, we expect stable clean PBT growth of 7% y/y.
- **2Q preview for STAN – Challenging comps due to a high base:** We expect STAN's 2Q revenue to contract 1% y/y, due mainly to the high base in 2Q25, when the group booked a \$238mn disposal gain from Solv India and recorded elevated episodic income. We also expect opex (+4% y/y) to be front-loaded, resulting in negative JAW. Consequently, despite solid underlying operating momentum, we estimate STAN's clean PBT at -15% y/y. We forecast 1H26 buybacks of \$1bn (vs. \$1.3bn in 1H25), while the total return (dividends + buybacks / profits) ratio improves from 42% in 1H25 to 48% in 1H26 (Table 5).

See page 17 for analyst certification and important disclosures, including non-US analyst disclosures.

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Equity Ratings and Price Targets

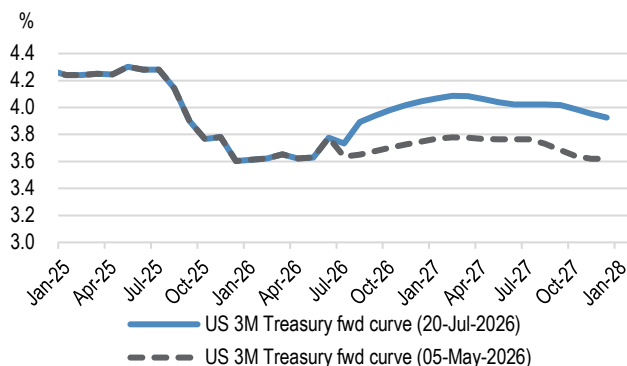
Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
HSBC Holdings plc (0005)	5 HK	347,902	HKD	156.50	OW	n/c	200.00	Dec-27	182.00	Dec-26
Standard Chartered Plc (HK) (2888)	2888 HK	62,432	HKD	220.80	OW	n/c	295.00	Dec-27	275.00	Dec-26

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 21 Jul 26.

Higher yield curve leads to upside on NII

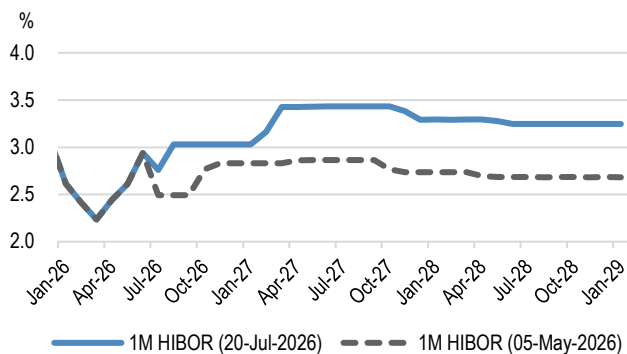
The forward yield curve (Figure 1) shows that the market has increased expectations for US rate hikes. We now forecast average US rates of 375bps/375bps/350bps for FY26/27/28 (vs. 369bps/350bps/325bps previously); our new forecast is slightly below the forward curve (Figure 1), alongside 1M HIBOR of 270bps/275bps/275bps (vs. 249bps/250bps/250bps previously). Also, we note a recovery in HK loan growth: HK contributed 28% of loans for HSBC and 26% for STAN. The latest data show that HK lending rose 6% y/y in May-26 incl. with mortgages +3.3%, but we expect HSBC and STAN HK loan growth to trail the system average. This is mainly because both banks are taking more commercial and measured approaches in mortgage lending vs. peers like BOCHK. Also, HSBC continues to shrink its HK CRE book, offsetting gross loan growth. Nonetheless, this leads to upside risk to both HSBC and STAN, in our view.

Figure 1: US 3M treasury forward yield curve



Source: Bloomberg Finance L.P.

Figure 2: 1M HIBOR forward yield curve



Source: Bloomberg Finance L.P.

Updates on China's cross-border regulation

Tightening of individual ODI rule has muted impact for now

The impact of the ODI rule ([link](#)) is reflecting mainly in new account openings for Mainland Chinese Visitor (MCV) clients, particularly for mass markets, while the actual financial impact in 2Q is muted. Our channel checks in HK show the following:

- Both private and commercial banks are reviewing dormant Mainland visitor accounts; this has a muted impact on banks.
- New account openings appear to be taking longer, and remote onboarding through incumbent banks has become increasingly difficult, particularly for mass market MCVs. Select virtual banks continue to offer online services to mass market MCVs.
- Our channel check suggests that incumbent banks do question or discourage new investment-account openings for Mainland visitor clients, even where customers are prepared to provide the required declarations. That said, the impact on the private banking segment appears manageable, as ultra-high-net-worth clients typically hold assets through family offices or other institutional structures.

The read-across from STAN data suggests that the per-client income of PB (AUM >\$10mn) and priority private (\$1mn<AUM<\$10mn) clients are 218x and 44x that of premium clients (\$25k<AUM<\$100k), respectively, so the slowdown in bank/investment account openings for MCV mass-market clients should have a muted impact on banks' financials. The next catalyst will be the release of details of the ODI rule, which could take months, in our view.

Relaxation of corporate cross-border regulation may be beneficial to STAN

On the other hand, our report [HK/China: Capital Flow Policy: Mixed impacts, clearer framework - gauging implications for CNY and Banks](#) highlighted that the change in cross-border rule is not a one-way street; while there is tightening on individual ODI, there has been relaxation on corporate cross-border requirements. On top of that, the speech by Governor Pan Gong Sheng of the PBOC on 7 July indicates an acceleration in RMBI ([link](#), Table 1). We estimated that China CIB income (incl. China-originated network income) accounted for ~10% of Group revenue for STAN, while only low to mid-single-digits for HSBC. While it is challenging to gauge the actual impact of the regulatory changes ([link](#)), this presents a potential tailwind to our non-NII estimates, particularly for STAN.

Table 1: Key measures announced by Pan on the Hong Kong FIC & Bond Connect Summit to accelerate RMB internationalization

Key measures	Details
PBOC expanded Bond Connect Southbound quota and scope	- Annual net investment quota raised from Rmb500bn to Rmb800bn - Southbound bonds included in repo support scope - Product range extended to HKD bonds and RMB bond-related products; scheme extended to cover Macau bond market.
PBOC supported HKMA to expand RMB Business Facility (RBF)	- Tenor extended to up to 3 years, per HKMA, adding 9-month, 2-year and 3-year tenors, effective 10 July 2026 - Further size up the facility from Rmb200bn to Rmb500bn - HKMA also studying a 7-day CNH liquidity tender mechanism and issuance of offshore RMB short-term debt instruments to complete the CNH yield curve
PBOC announced measures to diversify HK's RMB market infrastructure and products	- 5-year offshore RMB CGB futures to launch in HK soon - Bond Connect Company to be upgraded into a trading platform operator (CFETS working with HKMA and SFC), providing bond/money market/FX trading infrastructure - HKCC and SEOCH to accept Northbound Bond Connect bonds as eligible collateral

- Gold: SGE's first offshore delivery warehouse in HK launched; support for HK gold clearing/settlement system linked with SGE; more RMB-denominated commodity products, incl. HKEX-LME cooperation
- MOF to increase offshore RMB CGB issuance and diversify tenors; PBoC bills to continue regular issuance; state FX reserves to raise HK asset allocation

Source: PBOC, J.P. Morgan.

Table 2: Estimate of STAN's China CIB contribution

US\$ mn	STAN	Note
Group revenue	20,829	a - Disclosed
China onshore income	1,200	b - Disclosed
CIB income as a % of total China onshore income	50%	c - Estimated based on STAN's breakdown chart
China-originated network income	1,500	d - Disclosed
Total China CIB income	2,100	e=b*c+d
China CIB income as a % of Group	10%	f=e/a

Source: Company data, J.P. Morgan estimates.

2Q preview – STAN to face challenge from higher base

- Increasing NII to reflect resilient rates and continued volume recovery:** We update our forecasts ahead of 2Q results, reflecting a stronger rates outlook, with 1M HIBOR averaging 257bps in 2Q and ending the quarter at 294bps (vs. the 1Q average of 223bps). For 2Q, we expect HSBC to see Banking NII of \$11.58bn (+3% q/q), while we expect NII of \$2.8bn (-2% q/q) for StanChart, both broadly in line with consensus.
- Read-across from US bank reporting** highlighted strength in Asia capital markets and trading, which should be reflected in HSBC's and STAN's markets/banking divisions, although both hold limited exposure to equity-related businesses. The Hang Seng Index declined c8% through 2Q, which may dampen Wealth numbers, particularly for HSBC, considering its investment distribution business, although HK IPO activity remained high. For 2Q, we forecast that StanChart will see Wealth income growth of 23% y/y alongside c\$15bn of net new flows (c16% net new money rate), which is seasonally slower than 1Q, while we expect HSBC to see Wealth income growth of 16% y/y. We also expect STAN to see 2Q Markets income of -5% y/y, although with flow income +13% y/y offset by a decline in episodic income, while we expect HSBC's Transaction Banking income (with FX within) to slow slightly, to +4% y/y, alongside flat y/y IB, Debt and Equity markets (vs. -17% y/y in 1Q).
- Asset quality trends are broadly stable**, although we include a \$0.2bn charge in 2Q for HSBC, reflecting its press-reported c\$0.4bn exposure to IFFCO Group (Dubai-based conglomerate), assuming some hedged exposure – see [here](#). We do not expect material changes to IFRS9 overlays in relation to the Middle East in the near term.
- HSBC – Stable growth driven by robust NII, but partly offset by elevated credit cost:** We expect banking NII growth to be 8% y/y, driven by 9bps y/y (+3bps q/q) NIM expansion and 5% y/y deposit growth. Non-NII growth is more muted, at 3% y/y, bringing revenue growth to 6% y/y. We expect positive JAW of 4ppt in 2Q26, leading to PPop growth of 10% y/y. Despite our expectation of ECL charge +19% y/y on the back of a \$200mn impairment on IFFCO exposure, clean PBT could grow 7% y/y. We expect the Group to restart its buyback program at \$2bn with 2Q results.
- STAN may see challenge on higher base:** STAN booked a \$238mn disposal gain from Solv India in 2Q25, and episodic income from the Financial Market

business was elevated in 2Q25 due to volatility from the “Liberation Day” announcement. Thus, despite strong operating trends, we expect STAN to book a 15% y/y contraction on clean PBT. In addition, STAN is revising its shareholder return policy to increase the dividend payout and lower share buyback, so we expect the 1H26 buyback of \$1bn to be lower than \$1.3bn in 1H25, while total return should improve from 42% in 1H25 to 48% in 1H26; see Table 5 for details.

Table 3: HSBC – Summary of 2Q26 estimates

HSBC Group, US\$ mn		2Q25	3Q25	4Q25	1Q26	2Q26
IS items	Banking NII	10,714	11,049	11,722	11,253	11,582
	Fee and other income	6,943	6,851	6,001	7,872	7,153
	o.w. Transaction Banking	2,783	2,575	2,648	3,081	2,900
	o.w. Wealth	2,273	2,680	2,146	2,697	2,646
	o.w. Other	1,887	1,596	1,207	2,094	1,607
	Underlying revenues	17,657	17,900	17,723	19,125	18,735
	Underlying costs (incl. levy)	(8,268)	(8,380)	(8,905)	(8,543)	(8,425)
	Pre-provision profit	9,389	9,520	8,818	10,582	10,310
	Loan loss provision charge	(1,065)	(1,008)	(901)	(1,301)	(1,270)
	Operating profit before tax	8,324	8,512	7,917	9,281	9,040
	Associate income	838	591	669	774	803
	Clean pretax profit	9,162	9,103	8,586	10,055	9,844
	Exceptionals and other one-offs (incl. CTA)	(2,836)	(1,808)	(1,784)	(679)	(270)
	Pretax profit	6,326	7,295	6,802	9,376	9,574
BS items	Loans, gross	991,865	993,394	999,091	1,013,296	1,022,278
	Deposits	1,718,604	1,737,247	1,786,828	1,781,761	1,806,580
	Total assets	3,214,371	3,234,223	3,233,034	3,306,011	3,265,364
	Common shareholders' equity	171,838	170,714	177,509	174,608	172,636
Key ratios	DPS (\$)	0.10	0.10	0.45	0.10	0.10
	B3 CET1 ratio	14.6%	14.5%	14.9%	14.0%	14.2%
	Credit costs	0.44%	0.41%	0.36%	0.52%	0.50%
IS items YoY growth	Banking NII	-2%	2%	8%	6%	8%
	Fee and other income	20%	8%	7%	10%	3%
	o.w. Transaction Banking	3%	-3%	5%	6%	4%
	o.w. Wealth	23%	30%	22%	18%	16%
	o.w. Other	55%	-2%	-9%	8%	-15%
	Underlying revenues	6%	4%	7%	8%	6%
	Underlying costs (incl. levy)	2%	3%	5%	8%	2%
	Pre-provision profit	9%	4%	10%	8%	10%
	Loan loss provision charge	208%	2%	-34%	49%	19%
	Operating profit before tax	1%	5%	19%	4%	9%
	Associate income	-2%	-3%	-1%	-5%	-4%
	Clean pretax profit	1%	4%	17%	3%	7%
	Exceptionals and other one-offs (incl. CTA)	1369%	606%	-65%	141%	-90%
	Pretax profit	-29%	-14%	199%	-1%	51%
BS QoQ growth	Loans	4%	0%	1%	1%	1%
	Deposits	3%	1%	3%	0%	1%
	Total assets	5%	1%	0%	2%	-1%
	Common shareholders' equity	0%	-1%	4%	-2%	-1%
Key ratios QoQ	DPS (\$)	0%	0%	350%	-78%	0%
	B3 CET1 ratio	-7 bps	-10 bps	38 bps	-89 bps	18 bps
	Credit Costs	7 bps	-3 bps	-4 bps	16 bps	-2 bps

Source: Company data, J.P. Morgan estimates.

Table 4: STAN – Summary of 2Q26 estimates

	STAN Group, US\$ mn	2Q25	3Q25	4Q25	1Q26	2Q26E
Key IS & BS items	NII	2,702	2,737	2,948	2,869	2,810
	Non-NII	2,825	2,373	1,865	3,033	2,689
	o.w. Wealth	742	890	677	1,043	899
	o.w. Markets	1,172	848	660	1,190	1,116
	o.w. Others	911	635	528	800	673
	Quarterly revenue	5,527	5,110	4,813	5,902	5,499
	Operating expense	(3,201)	(3,144)	(3,754)	(3,140)	(3,316)
	PPoP	2,326	1,966	1,059	2,762	2,183
	Loan impairments	(119)	(188)	(148)	(296)	(243)
	Other impairments	(4)	(22)	(24)	(2)	(6)
	Profit from associates	77	10	(27)	(14)	5
	Clean pretax profits	2,280	1,766	860	2,450	1,940
	Exceptionals	-	-	(46)	-	-
	PBT	2,280	1,766	814	2,450	1,940
	B3 CET1 ratio	14.3%	14.2%	14.1%	13.4%	13.6%
	Total loans, gross (incl. FVTPL)	350,618	347,566	349,585	357,360	359,335
	Customer loans, net	286,731	285,127	286,788	293,561	295,184
	Deposits	517,390	526,284	530,161	542,223	550,314
	RWAs	259,684	258,378	258,031	266,186	267,895
	Reported NIM	1.98%	1.94%	2.09%	2.01%	1.99%
	Credit cost (ann.)	0.14%	0.22%	0.17%	0.33%	0.27%
	ROTE (underlying)	19.7%	13.4%	8.0%	17.4%	NA
YoY growth	NII	0%	-1%	-1%	3%	4%
	Non-NII	34%	10%	4%	17%	-5%
	o.w. Wealth	20%	28%	20%	34%	21%
	o.w. Markets	47%	1%	-14%	1%	-5%
	o.w. Others	31%	0%	14%	29%	-26%
	Quarterly revenue	15%	4%	1%	10%	-1%
	Operating expense	5%	6%	8%	3%	4%
	PPoP	33%	0%	-19%	18%	-6%
	Loan impairments	59%	6%	15%	36%	104%
	Other impairments	-95%	-75%	-93%	-87%	50%
	Profit from associates	-41%	11%	-39%	-800%	-94%
	Clean pretax profits	33%	3%	11%	17%	-15%
	Exceptionals	NA	NA	-284%	NA	NA
	PBT	33%	3%	2%	17%	-15%
	Taxes	-10%	-19%	24%	6%	-1%
	PAT	55%	15%	-10%	20%	-19%
	Minority/pref. debt	-85%	34%	-76%	6%	83%
	Attributable profit	82%	10%	-6%	22%	-21%
QoQ growth	B3 CET1 ratio	50 bps	-19 bps	-4 bps	-74 bps	26 bps
	Total loans, gross (incl. FVTPL)	2%	-1%	1%	2%	1%
	Customer loans, net	2%	-1%	1%	2%	1%
	Deposits	5%	2%	1%	2%	1%
	RWAs	2%	-1%	0%	3%	1%
	Reported NIM	-13 bps	-4 bps	15 bps	-8 bps	-2 bps
	Credit cost (ann.)	-12 bps	8 bps	-5 bps	17 bps	-6 bps

Source: J.P. Morgan estimates.

Table 5: STAN – Summary of total shareholder return

US\$ mn	1H25	2H25	1H26E	2H26E	2025	2026E	2027E	2028E
Buyback	1,300	1,500	1,000	1,250	2,800	2,250	2,500	2,500
Dividend	301	1,136	462	1,266	1,474	1,720	2,082	2,277
Div payout ratio	8%	62%	15%	61%	26%	34%	35%	35%
Div+buyback as a % of earnings	42%	145%	48%	121%	76%	78%	77%	73%

Source: Company data, J.P. Morgan estimates.

Estimate and PT changes – Raise NII forecasts

We update our forecasts for HSBC and STAN, reflecting a more resilient interest rate environment. We also roll over our PT date from Dec-26 to Dec-27. As a result of these changes, we increase our HSBC PT to HK\$200 and our STAN PT to HK\$295. We maintain an Overweight rating on both banks.

- **NII – Reflecting a higher yield curve:** We increase our HSBC Banking NII forecasts to \$46.7bn in 2026 (vs. consensus \$46.4bn) and \$49.7bn 2028 (vs. consensus \$49.4bn), while we see StanChart as more diversified, with these trends carrying less weight, although our FY26 NII forecast of +2% is above guidance and consensus.
- **We increase FY26E-28E EPS for HSBC by c2%, driven by stronger Banking NII,** with management potentially raising FY26 guidance from c\$46bn to c\$47bn (vs. JPMe \$46.7bn, consensus \$46.4bn), in our view, and a slightly stronger run rate in Fees, particularly in Banking/Markets, partly offset by higher costs.
- **For STAN,** the revenue upside was reflected in our estimate changes following the Group's investor update ([link](#), [link](#)), with stronger revenues offset by higher cost growth. We forecast NII growth of 2% in FY26, which offers potential upside to guidance of flat y/y (vs. consensus +1%), alongside total revenue growth of c6% in FY26E (vs. guidance of the bottom end of 5-7%).

Table 6: STAN – Key estimate changes

\$ mn, except per-share data	FY26E new	FY26E old	% Δ	FY27E new	FY27E old	% Δ	FY28E new	FY28E old	% Δ
Net interest income	11,360	11,372	0%	11,742	11,600	1%	12,200	12,079	1%
Non-interest income	10,692	10,671	0%	11,671	11,529	1%	12,813	12,391	3%
Total income	22,053	22,043	0%	23,413	23,129	1%	25,013	24,471	2%
Operating costs	-13,297	-13,232	0%	-13,363	-12,947	3%	-14,136	-13,585	4%
Pre-provision operating profit	8,755	8,810	-1%	10,050	10,183	-1%	10,877	10,885	0%
Loan impairments	-1,059	-1,059	0%	-1,041	-1,023	2%	-1,086	-1,134	-4%
Other impairments	-25	-25		-10	-10		-10	-10	
Income from associates	10	10	0%	30	10	200%	30	10	200%
PBT (ex one-offs)	7,681	7,736	-1%	9,029	9,160	-1%	9,811	9,751	1%
Exceptionals (restructuring and litigation)	0	0		0	0		0	0	
PBT	7,681	7,736	-1%	9,029	9,160	-1%	9,811	9,751	1%
Tax expense	-2,005	-2,020	-1%	-2,438	-2,473	-1%	-2,649	-2,633	1%
Post-tax profit	5,676	5,716		6,591	6,687		7,162	7,118	
Minority interest and AT1	-13	-13		-13	-13		-13	-13	
Preference dividends	-606	-606		-630	-630		-643	-643	
Profit attributable	5,058	5,097	-1%	5,948	6,044	-2%	6,507	6,463	1%
Stated diluted EPS	2.28	2.30	-1%	2.79	2.84	-2%	3.19	3.18	0%
DPS	0.78	0.80	-4%	0.98	0.99	-2%	1.12	1.11	0%
Buybacks (m)	2250	2000		2500	2500		2500	2500	
NAVps	18.3	18.3	0%	19.8	19.9	-1%	21.5	21.8	-1%
RoNAV	12.9%	13.0%		14.9%	15.1%		15.7%	15.5%	
CET1 ratio FL	13.6%	13.6%		13.5%	13.7%		13.4%	13.8%	
Loan impairments rate (on all loans incl. FVTPL)	0.30%	0.30%	0bps	0.28%	0.28%	0bps	0.28%	0.29%	-1bps
Loans	363,743	363,743	0%	379,829	378,743	0%	396,666	394,391	1%
Loan growth	4.1%	4.1%	0bps	4.4%	4.1%	30bps	4.4%	4.1%	30bps
NPL ratio	2.0%	2.0%	0bps	1.9%	2.0%	-1bps	1.9%	1.9%	-1bps
Cost of risk (loan impairment/avg. assets)	-11bps	-11bps	0bps	-11bps	-10bps	0bps	-11bps	-11bps	1bps
Credit cost (loan impairment/avg. gross loans incl. FVPL)	-30bps	-30bps	0bps	-28bps	-28bps	0bps	-28bps	-29bps	1bps

Source: J.P. Morgan estimates.

Table 7: HSBC – Key estimate changes

\$ mn, except per-share data	FY26E new	FY26E old	% Δ	FY27E new	FY27E old	% Δ	FY28E new	FY28E old	% Δ
Net interest income	38,023	37,481	1%	39,713	38,747	2%	41,319	40,308	3%
Non-interest income	37,055	36,785	1%	38,580	38,016	1%	40,106	39,632	1%
Total clean revenues	75,077	74,266	1%	78,293	76,763	2%	81,425	79,941	2%
Total clean costs	-34,397	-34,349	0%	-35,778	-35,338	1%	-37,216	-36,577	2%
Pre-provision operating profit	40,681	39,917	2%	42,515	41,424	3%	44,210	43,363	2%
Provisions	-4,827	-4,620	4%	-4,280	-4,252	1%	-4,434	-4,398	1%
Associates and JVs	2,998	2,782	8%	3,050	2,754	11%	3,103	2,727	14%
Clean PBT	38,852	38,079	2.0%	41,285	39,926	3.4%	42,879	41,693	2.8%
Exceptionals ex restructuring	-701	-701		500	500		0	0	
Restructuring	-1,012	-1,012		-200	-200		-200	-200	
PBT	37,139	36,366	2%	41,585	40,226	3%	42,679	41,493	3%
Tax	-7,535	-7,380	2%	-8,317	-8,045	3%	-8,536	-8,299	3%
Profit after tax	29,604	28,986	2%	33,268	32,181	3%	34,143	33,194	3%
Minority interest	-130	-130	0%	-60	-60	0%	-60	-60	0%
Dividend payable on prefs as equity/AT1	-1,396	-1,242	12%	-1,494	-1,304	15%	-1,598	-1,369	17%
Net attributable to ordinary shareholders	28,078	27,614	2%	31,714	30,817	3%	32,485	31,765	2%
Headline EPS	\$ 1.65	\$ 1.62	2%	\$ 1.90	\$ 1.85	2%	\$ 2.01	\$ 1.99	1%
Adjusted EPS	\$ 1.72	\$ 1.70	1.5%	\$ 1.87	\$ 1.83	2%	\$ 2.01	\$ 1.98	1.3%
NAVps	\$ 9.77	\$ 9.76	0.1%	\$ 10.39	\$ 10.41	-0.1%	\$ 11.11	\$ 11.17	-0.5%
RoNAV	18.2%	17.9%	27bps	18.7%	18.3%	46bps	18.8%	18.5%	30bps
DPS	\$ 0.84	\$ 0.83	2%	\$ 0.93	\$ 0.91	3%	\$ 1.00	\$ 0.99	1%
LLP	0.47%	0.45%	2bps	0.41%	0.41%	0bps	0.40%	0.40%	0bps
CET1	14.2%	14.2%	-2bps	14.2%	14.3%	-8bps	14.1%	14.2%	-12bps
Banking NII	46,708	46,009	2%	48,436	47,032	3%	49,700	48,339	3%
Non-Banking NII income	28,370	28,257	0%	29,857	29,731	0%	31,726	31,602	0%
Retail	1,402	1,402	0%	1,462	1,442	1%	1,525	1,466	4%
Wealth	10,817	10,817	0%	11,950	11,954	0%	13,165	13,212	0%
Wholesale transaction banking	11,283	11,283	0%	11,718	11,694	0%	12,177	12,137	0%
IB, debt and equity markets	2,937	2,824	4%	2,957	2,881	3%	3,045	2,986	2%
Wholesale credit and lending	967	967	0%	1,001	988	1%	1,035	1,009	3%
Other	963	963	0%	770	773	0%	779	792	-2%
Loans	1,037,689	1,032,399	1%	1,074,365	1,066,982	1%	1,115,805	1,108,020	1%
Loan growth	3.9%	3.3%	53bps	3.5%	3.3%	18bps	3.9%	3.8%	1bps
NPL ratio	2.2%	2.2%	-1bps	2.2%	2.2%	-2bps	2.2%	2.2%	-2bps
Cost of risk (loan impairment/avg. assets)	-15bps	-14bps	-1bps	-13bps	-13bps	0bps	-13bps	-13bps	0bps
Credit cost (loan impairment/avg. loans)	-47bps	-45bps	-2bps	-41bps	-41bps	0bps	-40bps	-40bps	0bps
Banking NIM (on AIEA)	2.03%	2.00%	3bps	2.02%	1.97%	5bps	2.00%	1.95%	5bps

Source: J.P. Morgan estimates.

Overweight

0005.HK, 5 HK

Price (21 Jul 26): HK\$156.50

▲ **Price Target (Dec-27): HK\$200.00**
Prior (Dec-26): HK\$182.00

Hong Kong

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Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1			
Q2			
Q3			
Q4			
FY	1.55	1.72	1.87

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	70	58	50	36	61
Growth	41	59	56	68	70
Momentum	15	18	31	8	54
Quality	26	31	31	39	79
Low Vol	23	16	12	23	25

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

HSBC Holdings plc (0005)

Model update

- We update our forecasts, reflecting a more resilient interest rate environment. We increase our HSBC Banking NII forecasts to \$46.7bn in 2026 (vs. consensus \$46.4bn) and \$49.7bn in 2028 (vs. consensus \$49.4bn).
- We increase FY26E-28E EPS for HSBC by c2%, driven by stronger Banking NII, with management potentially raising FY26 guidance from c\$46bn to c\$47bn (vs. JPMe \$46.7bn, consensus \$46.4bn), in our view, and a slightly stronger run rate in Fees, particularly in Banking/Markets, partly offset by higher costs.
- We also roll over our PT date from Dec-26 to Dec-27. As a result of these changes, we increase our PT to HK\$200. We remain Overweight on the bank.

Investment Thesis, Valuation and Risks

HSBC Holdings plc (Overweight; Price Target: HK\$200.00)

Investment Thesis

HSBC's self-help programs in the past decade have lifted normalized and through-the-cycle RoTE from 8% to 17%. This means that the adjusted dividend yield (including share buybacks [SBB]) will stay at ~8% after the rate cycle, on our estimates. Despite a three-quarter suspension in buybacks due to the HSB privatization, we estimate HSBC's 2026-28 total shareholder return yield at 6-8% each year, the highest in our bank sector coverage in the Greater China region. We see declines in revenue in the medium term as a result of business disposals as well as rate cuts and loan growth also under pressure, but fee income will likely provide some support, given strong momentum in Transaction Banking and Wealth. The group's restructuring plan could benefit on the cost side, depending on scale. We expect 2026/27/28 RoTE (excluding notable items) to be 18.2%/18.7%/18.8%, broadly in line with HSBC's above-17% guidance. We rate HSBC Overweight.

Valuation

Our Dec-27 PT of HK\$200 is based on our DDM analysis, with NAV discounted back to Dec-27 from 2028E and a fair P/B of 2.1x. Our key assumptions are a normalized ROE of 16.3%, long-term growth rate of 2.4% and cost of capital of 9.1%.

Risks to Rating and Price Target

Key downside risks to our rating and price target include:

- Macroeconomic risks:** HSBC is exposed to GDP growth in Hong Kong SAR, Mainland China and the UK, as well as FX and cross-border/political risks, which could pose downside risks. Similarly, the global interest rate and inflation outlook could impact group margins, which may differ from our expectations.
- EM outlook:** We expect the asset quality outlook to deteriorate and forecast CoR growth above normalized levels in the medium term – although we see both upside and downside risks to this. This includes specific areas such as China CRE, where the group has a large unsecured exposure, and Hong Kong CRE, where the portfolio has seen sharp deterioration.

- **Regulatory risks:** Regulatory risks include Basel 4, performance in BoE stress tests/Comprehensive Capital Analysis and Review (CCAR) and changes in capital regime.

Price Performance



— 0005.HK Price (HK\$)— HSI (rebased)

	YTD	1m	3m	12m
Abs	27.9%	5.0%	8.9%	59.0%
Rel	29.8%	-0.1%	14.0%	58.4%

Company Data

Shares O/S (mn)	17,430
52-week range (HK\$)	158.40-94.30
Market cap (\$ mn)	347,902
Exchange rate	7.84
Free float (%)	99.9%
3M ADV (mn)	14.67
3M ADV (\$ mn)	271.0
Volatility (90 Day)	31
Index	HSI
BBG ANR (Buy Hold Sell)	6 15 8

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	34,794	38,023	39,713	41,319
Non interest income	36,226	37,055	38,580	40,106
Operating expenses	(33,464)	(34,397)	(35,778)	(37,216)
Adj. PPOP	37,556	40,681	42,515	44,210
Provision for loan losses	(3,850)	(4,827)	(4,280)	(4,434)
Adj. PBT	36,617	38,852	41,285	42,879
Adj. net income	27,265	29,555	31,474	32,645
Adj. EPS	1.55	1.72	1.87	2.01
BBG EPS	-	-	-	-
DPS	0.75	0.84	0.93	1.00
Loans	988,399	1,026,784	1,063,241	1,104,459
Deposits	1,786,828	1,867,932	1,943,193	2,021,845
Total Assets	3,233,034	3,297,695	3,363,649	3,430,922
Margins and Growth				
NIM	1.6%	1.6%	1.7%	1.7%
Ratios				
Loan/ Deposit ratio	55.3%	55.0%	54.7%	54.6%
NPL / Loans	2.3%	2.2%	2.2%	2.2%
Coverage	47.3%	47.3%	28.3%	29.1%
CET 1	14.9%	14.2%	14.2%	14.1%
Non-int. income/ Income	51.0%	49.4%	49.3%	49.3%
Cost/Income	47.1%	45.8%	45.7%	45.7%
LLP/Loans	(0.4%)	(0.5%)	(0.4%)	(0.4%)
ROA	0.9%	0.9%	0.9%	1.0%
ROE	15.9%	16.6%	17.3%	17.5%
Valuation				
Dividend yield	3.8%	4.2%	4.7%	5.0%
Adj. P/E	12.8	11.6	10.7	9.9
P/ BV	1.9	1.9	1.8	1.7

Summary Investment Thesis and Valuation

HSBC's self-help programs in the past decade have lifted normalized and through-the-cycle RoTE from 8% to 17%. This means that the adjusted dividend yield (including share buybacks [SBB]) will stay at ~8% after the rate cycle, on our estimates. Despite a three-quarter suspension in buybacks due to the HSB privatization, we estimate HSBC's 2026-28 total shareholder return yield at 6-8% each year, the highest in our bank sector coverage in the Greater China region. We see declines in revenue in the medium term as a result of business disposals as well as rate cuts and loan growth also under pressure, but fee income will likely provide some support, given strong momentum in Transaction Banking and Wealth. The group's restructuring plan could benefit on the cost side, depending on scale. We expect 2026/27/28 RoTE (excluding notable items) to be 18.2%/18.7%/18.8%, broadly in line with HSBC's above-17% guidance. We rate HSBC Overweight.

Our Dec-27 PT of HK\$200 is based on our DDM analysis, with NAV discounted back to Dec-27 from 2028E and a fair P/B of 2.1x. Our key assumptions are a normalized ROE of 16.3%, long-term growth rate of 2.4% and cost of capital of 9.1%.

Performance Drivers

Market	36%
Region	12%
Macro	16%
Style	2%
Idiosyn.	35%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP		
Region: Hong Kong	0.59	0.61
Macro:		
HSI Volatility Index	-0.29	-0.29
JP Morgan GBI-EM Global Div	0.29	0.26
JPM Global Equity Sentiment	0.18	0.23
Quant Styles:		
Momentum	0.37	0.21
DivYld	-0.10	-0.06
Growth	0.09	0.06

HSBC Holdings plc (0005): Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	32,970	34,794	38,023	39,713	41,319	Cash and cash equivalents	664,555	693,776	693,776	693,776	693,776
Interest expense	-	-	-	-	-	Deposits with banks	-	-	-	-	-
Net interest income	32,970	34,794	38,023	39,713	41,319	Net loans	930,658	988,399	1,026,784	1,063,241	1,104,459
Non interest income	34,464	36,226	37,055	38,580	40,106	PP&E	0	0	0	0	0
o/w Fee income	-	-	-	-	-	Net intangibles	12,384	13,107	13,238	13,370	13,504
o/w Trading income	(4,869)	(5,368)	(5,636)	(5,918)	(6,214)	LT investments	-	-	-	-	-
Net revenues	67,434	71,020	75,077	78,293	81,425	Other assets	1,409,451	1,537,752	1,563,897	1,593,261	1,619,183
Non interest expense	(32,810)	(33,464)	(34,397)	(35,778)	(37,216)	Total assets	3,017,048	3,233,034	3,297,695	3,363,649	3,430,922
o/w Employee costs	-	-	-	-	-	Interest earning assets	-	-	-	-	-
Pre-Prov. Profits	34,624	37,556	40,681	42,515	44,210	Deposits	1,654,955	1,786,828	1,867,932	1,943,193	2,021,845
Provisions	(3,414)	(3,850)	(4,827)	(4,280)	(4,434)	Borrowings	248,033	248,033	248,033	248,033	248,033
Adj. PBT	34,122	36,617	38,852	41,285	42,879	Other liabilities	921,787	992,507	980,172	939,874	922,764
Income taxes	(7,310)	(6,776)	(7,535)	(8,317)	(8,536)	Total liabilities	2,824,775	3,027,368	3,096,137	3,157,058	3,218,599
Minority interest	(1,020)	(846)	(130)	(60)	(60)	Shareholder equity	165,903	177,509	178,896	183,929	189,660
Adj. Net profit	25,216	27,265	29,555	31,474	32,645	Minority interests	26,370	28,157	22,662	22,662	22,662
PPOP per share	1.89	2.16	2.39	2.55	2.74	Total liabilities and Shareholder equity	3,017,048	3,233,034	3,297,695	3,363,649	3,430,922
Reported EPS	1.24	1.20	1.64	1.89	2.00	Interest bearing liabilities	-	-	-	-	-
Adj. EPS	1.36	1.55	1.72	1.87	2.01	Book Value Per Share	9.26	10.36	10.55	11.21	11.96
DPS	0.87	0.75	0.84	0.93	1.00	Tangible Book Value Per Share	10.32	11.56	11.86	10.39	11.11
Diluted shares outstanding	18,485	17,547	17,170	16,807	16,253						
Balance Sheet Gearing						Asset Quality/Capital					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	56.2%	55.3%	55.0%	54.7%	54.6%	Loan loss reserves/Loans	(1.0%)	(1.1%)	(1.1%)	(0.6%)	(0.6%)
Investment/Assets	-	-	-	-	-	NPLs/Loans	2.4%	2.3%	2.2%	2.2%	2.2%
Loan/Assets	31.3%	30.0%	30.9%	31.4%	31.9%	Loan loss reserves/NPLs	49.6%	45.1%	47.3%	37.7%	28.7%
Customer deposits/Liabilities	58.6%	59.0%	60.3%	61.6%	62.8%	NPL y/y growth	17.3%	0.0%	2.0%	2.0%	2.0%
LT debt/Liabilities	4.4%	4.5%	4.3%	4.2%	4.1%	Tier 1 ratio	17.2%	17.1%	16.3%	16.3%	16.1%
						CAR	-	-	-	-	-
Ratio Analysis (%)						Ratio Analysis (%)					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	1.6%	1.6%	1.6%	1.7%	1.7%	Return on equity (ROE)	15.1%	15.9%	16.6%	17.3%	17.5%
Non interest income/Net revenue	51.1%	51.0%	49.4%	49.3%	49.3%	Return on assets (ROA)	0.8%	0.9%	0.9%	0.9%	1.0%
Non interest income/Avg. Assets	1.1%	1.2%	1.1%	1.2%	1.2%	Operating ROA	1.0%	1.1%	1.1%	1.1%	1.2%
Efficiency ratio	48.7%	47.1%	45.8%	45.7%	45.7%	Pre-Tax ROA	1.1%	1.0%	1.1%	1.2%	1.3%
Leverage ratio	4.8%	4.9%	4.5%	4.6%	4.6%	Pre-Provision ROA	1.1%	1.2%	1.2%	1.3%	1.3%
Revenue/Assets	2.2%	2.3%	2.3%	2.4%	2.4%	Tax rate	22.6%	22.7%	20.3%	20.0%	20.0%
RORWA	3.0%	3.2%	3.3%	3.4%	3.4%						
						Net loans y/y growth	(0.8%)	6.2%	3.9%	3.6%	3.9%
RWA	838,254	888,647	907,071	934,086	966,364	Assets y/y growth	(0.7%)	7.2%	2.0%	2.0%	2.0%
Avg. RWA	846,184	863,451	897,859	920,578	950,225	RWA y/y growth	(1.9%)	6.0%	2.1%	3.0%	3.5%
Avg. IEA	2,099,285	2,190,078	2,305,311	2,394,122	2,489,402	Deposits y/y growth	2.7%	8.0%	4.5%	4.0%	4.0%
Gross Loans	940,373	999,091	1,037,689	1,074,365	1,115,805	Net interest income y/y growth	(9.9%)	5.5%	9.3%	4.4%	4.0%
Avg. IBL	-	-	-	-	-	Revenues y/y growth	2.6%	5.3%	5.7%	4.3%	4.0%
LLR	(9,715)	(10,692)	(10,906)	(6,659)	(6,992)	Adj. EPS y/y growth	9.4%	13.9%	10.8%	8.8%	7.3%
NPLs	22,615	22,615	23,067	23,529	23,999	BVPS y/y growth	5.0%	11.9%	1.8%	6.2%	6.7%
P/BV (x)	2.2	1.9	1.9	1.8	1.7	IE assets/Assets	69.6%	67.7%	69.9%	71.2%	72.6%
Adj. P/E (x)	14.6	12.8	11.6	10.7	9.9	Margins (as % of Avg. Assets)	-	-	-	-	-
Dividend yield	4.4%	3.8%	4.2%	4.7%	5.0%	LLP/Loans	(0.4%)	(0.4%)	(0.5%)	(0.4%)	(0.4%)
Dividend payout	70.2%	62.4%	51.3%	49.2%	50.1%	Equity/Assets	-	-	-	-	-
						Cost/Assets	1.1%	1.1%	1.1%	1.1%	1.1%
						Assets/Equity	18.2	18.2	18.3	18.4	18.2

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

Standard Chartered Plc (HK) (2888)

Overweight

2888.HK, 2888 HK

Price (21 Jul 26): HK\$220.80

▲ **Price Target (Dec-27): HK\$295.00**
Prior (Dec-26): HK\$275.00

Hong Kong

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Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1			
Q2			
Q3			
Q4			
FY	1.91	2.28	2.79

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	58	44	34	28	26
Growth	59	26	40	32	28
Momentum	17	11	18	15	71
Quality	39	40	73	46	78
Low Vol	44	28	25	32	63

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Model update

- We update our forecasts, reflecting a more resilient interest rate environment. While we see STAN as more diversified, with these trends carrying less weight, our FY26E NII forecast of +2% is above guidance and consensus.
- We revised up our revenue forecasts slightly following the Group's investor update ([link](#), [link](#)), with stronger revenues offset by higher cost growth. We forecast NII growth of 2% in FY26, which offers potential upside to guidance of flat y/y (vs. consensus +1%), alongside total revenue growth of c6% in FY26 (vs. guidance of the bottom end of 5-7%).
- We also roll over our PT date from Dec-26 to Dec-27. As a result of these changes, we increase our PT to HK\$295. We remain Overweight on the bank.

Investment Thesis, Valuation and Risks

Standard Chartered Plc (HK) (Overweight; Price Target: HK\$295.00)

Investment Thesis

We view StanChart as offering strong EPS growth potential (JPMe 2025-28E CAGR +19%) at attractive valuations of a c10x 2027E P/E compared to peers, supported by structural growth drivers and balance sheet growth. We forecast a 2025-28 revenue CAGR of +6.3% and operating leverage annually to drive the CIR lower, to c57% in 2027E, underpinned by the Group's scalable technology infrastructure and cost-saving initiatives (e.g., >15% corporate function headcount reduction by 2030E, c20% increase in income/employee by 2028E). We also see favorable business mix changes toward Wealth and Financial Institutions/network income within the CIB to drive ROTE >15% in 2028E (vs. JPMe 15.7%), with the trajectory to continue higher thereafter. We see capital allocation more balanced across dividends (JPMe 34-35% div payout), RWA growth and buybacks, with optionality for further growth opportunities should the environment be conducive. Maintain OW.

Valuation

Our Dec-27 PT of HK\$295 is derived from our DDM analysis, with NAV discounted back to Dec-27 from FY28E and a fair P/B of 1.5x. Our key assumptions are a normalized ROE of 12.1% and a cost of capital of 9.3%.

Risks to Rating and Price Target

The key downside risks to our rating and price target include:

- Macroeconomic risks:** As an EM-focused bank, StanChart is exposed to general macroeconomic risk in EM, such as slowdowns, inflationary pressures, the depreciation of EM currencies and cross-border and political risks. Potential weakness in China macro and regional sovereign continue to be risks toward revenues and impairments in the near term, as well as geopolitical tensions creating a potential headwind.
- Provisioning outlook:** We expect provisions to grow to above-normalized levels by 2025, given growing pressures in the economic environment. An increase or decrease in provisions as a result of the economic outlook or with regard to specific cases poses a risk to our forecasts.

- **Regulatory uncertainty:** Standard Chartered remains exposed to the changes in the regulatory environment in the UK, with capital requirements being set by the PRA in the UK. While StanChart has limited UK exposure, the group is still subject to regulatory changes such as Basel 4 and BoE stress tests.

Price Performance



Company Data

Shares O/S (mn)	2,217
52-week range (HK\$)	231.00-137.00
Market cap (\$ mn)	62,432
Exchange rate	7.84
Free float (%)	100.0%
3M ADV (mn)	1.07
3M ADV (\$ mn)	27.9
Volatility (90 Day)	38
Index	HSI
BBG ANR (Buy Hold Sell)	16 6 4

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	11,184	11,360	11,742	12,200
Non interest income	9,645	10,692	11,671	12,813
Operating expenses	(13,145)	(13,297)	(13,363)	(14,136)
Adj. PPOP	7,684	8,755	10,050	10,877
Provision for loan losses	(672)	(1,059)	(1,041)	(1,086)
Adj. PBT	7,009	7,681	9,029	9,811
Adj. net income	4,592	5,058	5,948	6,507
Adj. EPS	1.91	2.28	2.79	3.19
BBG EPS	-	-	-	-
DPS	0.61	0.78	0.98	1.12
Loans	286,788	298,403	311,599	325,412
Deposits	530,161	559,924	593,176	620,633
Total Assets	919,955	957,543	1,000,152	1,044,759
Margins and Growth				
NIM	2.0%	2.0%	2.0%	1.9%
Ratios				
Loan/ Deposit ratio	54.1%	53.3%	52.5%	52.4%
NPL / Loans	2.1%	2.0%	1.9%	1.9%
Coverage	51.8%	51.8%	51.8%	51.8%
CET 1	14.1%	13.6%	13.5%	13.4%
Non-int. income/ Income	46.3%	48.5%	49.8%	51.2%
Cost/Income	63.1%	60.3%	57.1%	56.5%
LLP/Loans	(0.2%)	(0.4%)	(0.3%)	(0.3%)
ROA	0.5%	0.5%	0.6%	0.6%
ROE	10.1%	10.8%	12.4%	13.1%
Valuation				
Dividend yield	2.2%	2.8%	3.5%	4.0%
Adj. P/E	14.7	12.4	10.1	8.8
P/ BV	1.4	1.3	1.2	1.1

Summary Investment Thesis and Valuation

We view StanChart as offering strong EPS growth potential (JPMe 2025-28E CAGR +19%) at attractive valuations of a c10x 2027E P/E compared to peers, supported by structural growth drivers and balance sheet growth. We forecast a 2025-28 revenue CAGR of +6.3% and operating leverage annually to drive the CIR lower, to c57% in 2027E, underpinned by the Group's scalable technology infrastructure and cost-saving initiatives (e.g., >15% corporate function headcount reduction by 2030E, c20% increase in income/employee by 2028E). We also see favorable business mix changes toward Wealth and Financial Institutions/network income within the CIB to drive ROTE >15% in 2028E (vs. JPMe 15.7%), with the trajectory to continue higher thereafter. We see capital allocation more balanced across dividends (JPMe 34-35% div payout), RWA growth and buybacks, with optionality for further growth opportunities should the environment be conducive. Maintain OW.

Our Dec-27 PT of HK\$295 is derived from our DDM analysis, with NAV discounted back to Dec-27 from FY28E and a fair P/B of 1.5x. Our key assumptions are a normalized ROE of 12.1% and a cost of capital of 9.3%.

Performance Drivers

Market	35%
Region	7%
Macro	17%
Style	0%
Idiosyn.	41%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.65	0.60
Region: Hong Kong	0.34	0.35
Macro:		
HSI Volatility Index	-0.30	-0.38
JPM Global Equity Sentiment	0.40	0.32
JP Morgan GBI-EM Global Div	0.33	0.17
Quant Styles:		
DivYld	-0.17	-0.12
Momentum	0.15	0.10
Value	-0.12	-0.10

Standard Chartered Plc (HK) (2888): Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	11,112	11,184	11,360	11,742	12,200	Cash and cash equivalents	48,168	48,168	48,168	48,168	48,168
Interest expense	-	-	-	-	-	Deposits with banks	58,872	58,872	58,872	58,872	58,872
Net interest income	11,112	11,184	11,360	11,742	12,200	Net loans	281,032	286,788	298,403	311,599	325,412
Non interest income	8,308	9,645	10,692	11,671	12,813	PP&E	2,425	2,425	2,425	2,425	2,425
o/w Fee income	-	-	-	-	-	Net intangibles	5,791	6,231	6,418	6,610	6,809
o/w Trading income	0	0	0	0	0	LT investments	404,628	468,699	494,485	523,706	554,301
Net revenues	19,420	20,829	22,053	23,413	25,013	Other assets	48,772	48,772	48,772	48,772	48,772
Non interest expense	(12,402)	(13,145)	(13,297)	(13,363)	(14,136)	Total assets	849,688	919,955	957,543	1,000,152	1,044,759
o/w Employee costs	-	-	-	-	-	Interest earning assets	400,674	407,310	419,299	432,880	447,089
Pre-Prov. Profits	7,018	7,684	8,755	10,050	10,877	Deposits	464,489	530,161	559,924	593,176	620,633
Provisions	(1,135)	(737)	(1,084)	(1,051)	(1,096)	Borrowings	66,359	67,907	67,730	67,550	67,366
Adj. PBT	5,991	7,009	7,681	9,029	9,811	Other liabilities	274,058	274,829	282,167	290,152	305,553
Income taxes	(1,972)	(1,866)	(2,005)	(2,438)	(2,649)	Total liabilities	804,906	872,897	909,821	950,878	993,553
Minority interest	8	(12)	(13)	(13)	(13)	Shareholder equity	44,388	46,593	47,257	48,809	50,741
Adj. Net profit	3,578	4,592	5,058	5,948	6,507	Minority interests	394	465	465	465	465
PPOP per share	2.76	3.29	3.98	4.78	5.40	Total liabilities and Shareholder equity	849,688	919,955	957,543	1,000,152	1,044,759
Reported EPS	1.38	1.90	2.28	2.79	3.19	Interest bearing liabilities	-	-	-	-	-
Adj. EPS	1.37	1.91	2.28	2.79	3.19	Book Value Per Share	18.43	20.74	22.01	23.68	25.76
DPS	0.37	0.61	0.78	0.98	1.12	Tangible Book Value Per Share	14.99	16.77	18.14	19.49	21.27
Diluted shares outstanding	2,610	2,404	2,218	2,132	2,041						
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	60.5%	54.1%	53.3%	52.5%	52.4%	Loan loss reserves/Loans	(1.4%)	(1.1%)	(1.0%)	(1.0%)	(1.0%)
Investment/Assets	45.7%	49.4%	51.3%	52.0%	52.7%	NPLs/Loans	2.2%	2.1%	2.0%	1.9%	1.9%
Loan/Assets	34.6%	32.6%	31.6%	31.6%	31.6%	Loan loss reserves/NPLs	61.6%	57.8%	51.8%	51.8%	51.8%
Customer deposits/Liabilities	57.7%	60.7%	61.5%	62.4%	62.5%	NPL y/y growth	(14.2%)	(3.9%)	1.0%	2.0%	2.0%
LT debt/Liabilities	8.1%	8.0%	7.6%	7.3%	6.9%	Tier 1 ratio	16.9%	16.6%	16.4%	16.2%	16.0%
						CAR	-	-	-	-	-
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	2.1%	2.0%	2.0%	2.0%	1.9%	Return on equity (ROE)	8.1%	10.1%	10.8%	12.4%	13.1%
Non interest income/Net revenue	42.8%	46.3%	48.5%	49.8%	51.2%	Return on assets (ROA)	0.4%	0.5%	0.5%	0.6%	0.6%
Non interest income/Avg. Assets	1.0%	1.1%	1.1%	1.2%	1.3%	Operating ROA	0.8%	0.8%	0.8%	0.9%	1.0%
Efficiency ratio	63.9%	63.1%	60.3%	57.1%	56.5%	Pre-Tax ROA	0.8%	0.8%	0.8%	0.9%	1.0%
Leverage ratio	5.0%	4.9%	4.7%	4.7%	4.7%	Pre-Provision ROA	0.8%	0.9%	0.9%	1.0%	1.1%
Revenue/Assets	2.3%	2.4%	2.3%	2.4%	2.4%	Tax rate	32.8%	26.8%	26.1%	27.0%	27.0%
RORWA	1.5%	1.8%	1.9%	2.1%	2.2%						
RWA	247,065	258,031	269,663	284,126	299,209	Net loans y/y growth	(2.1%)	2.0%	4.1%	4.4%	4.4%
Avg. RWA	245,608	252,548	263,847	276,894	291,667	Assets y/y growth	3.3%	8.3%	4.1%	4.4%	4.5%
Avg. IEA	407,963	403,992	413,304	426,089	439,985	RWA y/y growth	1.2%	4.4%	4.5%	5.4%	5.3%
Gross Loans	285,936	290,849	302,505	315,783	329,679	Deposits y/y growth	(1.1%)	14.1%	5.6%	5.9%	4.6%
Avg. IBL	0	0	0	0	0	Net interest income y/y growth	8.4%	0.6%	1.6%	3.4%	3.9%
LLR	(3,948)	(3,087)	(3,118)	(3,180)	(3,244)	Revenues y/y growth	9.4%	7.3%	5.9%	6.2%	6.8%
NPLs	6,203	5,964	6,024	6,144	6,267	Adj. EPS y/y growth	14.0%	39.3%	19.4%	22.4%	14.3%
P/BV (x)	1.5	1.4	1.3	1.2	1.1	BVPS y/y growth	9.4%	12.5%	6.1%	7.6%	8.8%
Adj. P/E (x)	20.5	14.7	12.4	10.1	8.8	IE assets/Assets	48.8%	45.7%	44.0%	43.5%	43.0%
Dividend yield	1.3%	2.2%	2.8%	3.5%	4.0%	Margins (as % of Avg. Assets)	1.3%	1.3%	1.2%	1.2%	1.2%
Dividend payout	26.9%	32.3%	34.0%	35.0%	35.0%	LLP/Loans	(0.2%)	(0.2%)	(0.4%)	(0.3%)	(0.3%)
						Equity/Assets	5.3%	5.1%	5.0%	4.9%	4.9%
						Cost/Assets	1.5%	1.5%	1.4%	1.4%	1.4%
						Assets/Equity	18.8	19.5	20.0	20.4	20.5

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

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HSBC Holdings plc (0005) (0005.HK, 5 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
07-Aug-23	OW	63.85	80
16-Oct-23	OW	62.50	81
31-Oct-23	OW	57.20	83
17-Jan-24	OW	59.10	81
22-Feb-24	OW	60.25	74
10-Apr-24	OW	63.90	78
02-May-24	OW	67.00	83
06-Aug-24	OW	62.05	86
19-Nov-24	OW	70.55	90
17-Feb-25	OW	84.50	95
20-Feb-25	OW	88.40	108
20-Mar-25	OW	89.75	115
05-May-25	OW	86.20	108
22-Jul-25	OW	98.45	118
01-Aug-25	OW	96.15	122
30-Oct-25	OW	106.50	132
02-Dec-25	OW	110.50	138
05-Feb-26	OW	139.00	165
18-Mar-26	OW	124.80	180
07-May-26	OW	140.50	182

Standard Chartered Plc (HK) (2888) (2888.HK, 2888 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
01-Aug-23	OW	74.25	90
07-Sep-23	OW	69.20	91
27-Oct-23	OW	59.75	83
16-Jan-24	OW	61.55	79
18-Jan-24	OW	57.35	78
28-Feb-24	OW	63.35	80
10-Apr-24	OW	68.25	82
03-May-24	OW	71.95	86
31-Jul-24	OW	76.90	94
04-Dec-24	OW	96.80	112
17-Feb-25	OW	108.20	120
24-Feb-25	OW	116.00	135
22-Jul-25	OW	141.30	148
04-Aug-25	OW	141.30	162
19-Oct-25	OW	142.00	168
03-Nov-25	OW	157.80	190
05-Feb-26	OW	203.40	265
01-Mar-26	OW	198.50	270
03-May-26	OW	190.80	275

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